

Message 1 of 48

RE: Master Netting Agreements

Sender	ed.hlopak@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/63.

Susan,

Did you intend to attach something to this email?

Ed Hlopak Sr. Project Manager Enron Wholesale Services Estate Management 713-345-9363 (office) 713-417-4412 (cell)

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, January 22, 2002 4:10 PM To: EWS-CCT Cc: Aronowitz, Alan Subject: Master Netting Agreements

Edward,

Attached is 4th part. This is the final part.

By receipt of this transmission, you are now in possession of all the electronic/pdf formatted Master Netting Agreements, which were included in the binder delivered to Raj last week.

One note of clarification -- I have provided the electronic/pdf version of the Florida Power & Light Company agreement. However, at the time the binder was delivered this agreement had not come my way; therefore, it is not included in the current binder is scheduled to be included a supplemental binder.

Please advise if I may be of further assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 2 of 48

Board Meeting Tonight/Annual Fund Letters/ and Camp Meeting Coming

Sender	executive_director@periwinklefoundation.org
Recipients	['linbeck.bayard@enron.com', 'dahlberg.carl@enron.com', 'pool.smiley@enron.com']
File	bailey-s/deleted_items/30.

Reminder:

The venue for the Board Meeting tonight has been changed to Chris Simon's house so that you can work on Annual Fund letters before and/or after the meeting. The address is 4141 Oberlin Street, 77005. It is in the west part of West U off of Academy. The phone number there if you get lost is 713-669-9467.

Annual Fund It is so important to have as many handwritten notes on the Annual Fund Letters as possible. Therefore, the letters will be available for you to make notes on tomorrow, January 17 and Friday, January 18 beginning at 8 a.m. until 6 p.m. at the Simon's house. If you need to come later, contact Kelley (832-824-2858) to make arrangements. The letters are going out next week, so all notes need to me done ASAP.

Camp Periwinkle Kick-off The kick-off party/meeting for Camp Periwinkle will take place on Thursday, January 31, at 6 p.m. at Jayne Finkowski-Rivera's house. The address is 4807 Fern, 77401, between Bellaire Blvd. and Evergreen on the West side of West Loop South. Her phone number, if you get lost, is 713-667-6852.

Fun food and beverage, of course, will be provided. Come casual and bring your thinking caps to help us make Camp Periwinkle 2002 the best ever! Believe me, this is where you begin to feel the excitement of camp, so join us!

Thanks, Pat

Message 3 of 48

RE: more comments for the demand letter list - SS contacted 3/4/02

Sender	louis.dicarlo@enron.com
Recipients	['sara.shackleton@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/311.

I spoke w/ Brian Russo this morning. He will submit payment for the invoice(s) amount on either today or tomorrow (3/13/02 or 3/14/02). He agreed to submit separate payment for the default interest once we provide the rate.

-----Original Message-----

From: Shackleton, Sara Sent: Monday, March 04, 2002 1:28 PM To: Bailey, Susan Cc: Miroballi, Angelo; Dicarlo, Louis Subject: more comments for the demand letter list - SS contacted 3/4/02

Baltimore Gas & Electric Brian Russo (finance area) 410-783-3623

Someone in settlements needs to contact him to determine Default Rate since BG&E wants to pay full amount (sounds like all deals have terminated)

Sara Shackleton Enron Wholesale Services 1400 Smith Street, EB3801a Houston, TX 77002 Ph: (713) 853-5620 Fax: (713) 646-3490

Message 4 of 48

FW: Select Energy and Stone Energy Corporation

Sender	louis.dicarlo@enron.com
Recipients	['sara.shackleton@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/267.

Susan: please update the Master Demand Log with the information below. Let's make sure we DO NOT send a termination letter on Friday. We need to attempt to resolve this payment question first.

Sara: we'll discuss this in the morning.

Thanks

Talked to Bill O'Brien today. He contends that Select made required payments, with the exception of some holdbacks which were clearly documented and provided to Enron. Select wants to perform under the contract until that time we can mutually negotiate an early termination. He is faxing 26 pages of information which supports Select's previous payments.

Bill requests that Enron: q Provide current written payment instructions q If we cannot resolve the payment dispute tomorrow (demand letter deadline), rescind the demand letter w/ rights to reopen after analysis is complete q Have Enron's attorney contact Select's attorney (see fax cover sheet for contact information)

Bill expressed concern that Enron would send a termination notice tomorrow (3/8/02) prior to resolution of the payment dispute. I assured him that our intention was to resolve the payment issue if possible, reserving that we might agree to differ if resolution isn't possible.

-----Original Message-----

From: Shackleton, Sara Sent: Wednesday, March 06, 2002 5:31 PM To: Dicarlo, Louis; Bailey, Susan Cc: Bridges, Michael; McMichael Jr., Ed; Miroballi, Angelo Subject: Select Energy and Stone Energy Corporation

(1) Received a voice mail from Bill O'Brien (credit manager) of Select Energy at 860-665-2376.

He says that payments were previously made on the referenced invoices and he is pulling the data together. He wants to talk on Thursday. Louis, can you call him please?

(2) Received a demand letter from Stone Energy Corporation which cites ENA's (i) failure to pay Stone \$46,564 under the swap EV3943.1 which will be a default in 2 business days, and (ii) bankruptcy. Stone may later designate an Early Termination Date.

Stone will also offset amounts owed by ENA Upstream Company to Stone.

Louis: we need to verify the swap payment issue and I'll have a copy of the letter sent to you.

Sara Shackleton Enron Wholesale Services 1400 Smith Street, EB3801a Houston, TX 77002 Ph: (713) 853-5620 Fax: (713) 646-3490

Message 5 of 48

RE: Forest Products Trading Counterparties

Sender	jennifer.newbrough@enron.com
Recipients	['sara.shackleton@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/77.

I have attached a file which shows the information we would like to send to International Paper regarding counterparties. It includes a description of the company (but not the name), the % of total tons traded and the credit rating of the counterparty. Can you let me know if you think this information can be given to a third party under the confidentiality provisions mentioned below? Please let me know.

Thanks, Jennifer

-----Original Message-----

From: Bailey, Susan Sent: Friday, January 18, 2002 4:53 PM To: Newbrough, Jennifer Cc: Shackleton, Sara Subject: RE: Forest Products Trading Counterparties

Jennifer,

I have completed my review of the selected Forest Products counterparties listed in your email request of January 15th. My review focused on the "Confidentiality" provision contained in either the Master Agreement or the Confirmation(s), being the documentation which established the trading relationship with either Enron North America Corp. ("ENA") or Enron Canada Corp. ("ECC"). I was asked to determine if the "Confidentiality" provision in our trading documents would prohibit ENA and/or ECC from disclosing to third parties: (a) "the existence of a Master Agreement" or (b) "the existence of a transaction under a Confirmation".

Conclusion: Whether the trading relationship was established under a Master Agreement or under the Confirmation(s) -- the "Confidentiality" language employed by ENA and ECC prohibits the public disclosure relating to the Master Agreement or to the Confirmation(s). Therefore, if ENA and/or ECC desire to public disclose "the existence of a Master Agreement" or "the existence of a transaction under a Confirmation" -- ENA and/ECC must first secure the prior consent of any counterparty before public disclosure to third party can be made.

For your convenience, attached are my findings as set forth in the following:

1. Master Agreement List for the Forest Products Trading Counterparties, along with the forms of "Confidentiality" provisions:

<< File: master agreement list (forest products counterparty).doc >> << File: confidentiality - master (standard provision).doc >> << File: confidentiality-master (non-standard provision).doc >> 2. Forest Products Trading Counterparties without a Master Agreement, along with the "Confidentiality" provision:

<< File: non master agreement list (forest products counterparty).doc >> << File: confidentiality - confirms (standard provision).doc >>

If I can be of further assistance, please let me know.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

-----Original Message-----

From: Newbrough, Jennifer Sent: Tuesday, January 15, 2002 11:35 AM To: Bailey, Susan Cc: Shackleton, Sara Subject: Forest Products Trading Counterparties

Susan,

Sorry about the previous attempt. This is the list of counterparties. We need to know if we can disclose to third parties that we have traded with them and the volumes associated with the trades. Thanks for your help. Call me if you need clarification.

Thanks for your help, Jennifer Adams

Waste Management Inc. Georgia Pacific Corp Casella Waste Systems Inc. US Gypsum Inland Paper and Packaging Rand Whitney Counterboard National Gypsum Company Norampac Atlantic Packaging Products, Ltd. General Mills Papier Mason Media News Times Mirror Macro Media Knight Ridder Media General New York Times Tembec Industries Pacifica Paper Rock Ten Conagra Energy Svcs Frito Lay Lin Packaging Dial National Banc of Canada Master Packaging Sodra James Hardie NV Appleton Paper Merita Bank Repap New Brunswick Boise Cascade Caima Irving Pulp and Paper UPM Kymmene Proctor & Gamble

Jennifer Adams Manager, Corporate Development Enron Corp. 1400 Smith Street Houston, TX 77002 Tele: 713/853-3919 Fax: 713/646-4043

Message 6 of 48

Merced Irrigation District ("Merced")

Sender	susan.bailey@enron.com
Recipients	['sara.shackleton@enron.com', 'stewart.rosman@enron.com', 'f..calger@enron.com', 'edward.sacks@enron.com']
File	bailey-s/sent_items/8.

Gentlemen,

Attached is an electronic version of the "proposed" First Amendment to ISDA Master Agreement, which was directed by FED EX to Gareth Krauss @ Merced on October 11, 2001.

On November 5th, Gareth mentioned to me that their lawyer would be contacting Sara Shackleton (ENA-Legal) with any comments to the proposed First Amendment.

Let me know if I may be of further assistance.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@enron.com

Message 7 of 48

Weekend	
Sender	susan.bailey@enron.com
Recipients	['dona.carmony@ourclub.com']
File	bailey-s/deleted_items/275.

Dona,

It has just dawned on me that I never got back to confirm which day this weekend we should rendezvous. I know that David will be out of town hunting and that you had proposed Friday -- drinks or Sat./Sun.

If you have not made plans for Friday, I thought that would be fun to have a little happy hour--that would give me reason to leave early on Friday.

If thats not good, then Sat. or Sun . will work.

Look forward to your response.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 8 of 48

New Schedule	
Sender	susan.bailey@enron.com
Recipients	['tony.pryor@enron.com', 'e..brown@enron.com']
File	bailey-s/deleted_items/366.

Guys,

Please disregard the earlier message, which was sent prior to its completion.

This is the complete message.

Gentlemen,

Attached is the latest version to ENA's form of "Schedule to ISDA Master Agreement". This document has been upgraded to include our new "set-off" provision.

For your convenience, I have attached a redlined version, so you can track the set-off language changes made therein.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@ enron.com

Message 9 of 48

FW: Royal Bank of Canada	
Sender	paul.simons@enron.com
Recipients	['paul.jones@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/143.

Paul - could you help, please?

Thanks

Paul

-----Original Message-----

From: Bailey, Susan Sent: 05 February 2002 22:14 To: Simons, Paul Subject: Royal Bank of Canada

Paul,

I need your help -- please furnish an executed version of the ISDA Master Agreement dated effective August 16, 2000, between Enron Credit Limited and Royal Bank of Canada.

We are trying to work through some matters and a copy of this ISDA is essential.

An electronic version if available would be great.

Thanks again.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 10 of 48

RE: PCS Nitorgen Fertilizer LP ("PCS")

Sender	bianca.ornelas@enron.com
Recipients	['credit <.williams@enron.com>', 'craig.breslau@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/415.

Here is what you requested.

Bianca

-----Original Message-----

From: Bailey, Susan Sent: Monday, November 26, 2001 3:34 PM To: Ornelas, Bianca Cc: Breslau, Craig; Williams, Jason R (Credit) Subject: PCS Nitorgen Fertilizer LP ("PCS")

Bianca,

Please forward a list of the current financial trades on the books between ENA and PCS.

Legal has been asked to prepare an Assignment of all PCS trades, so I must know the Deal Nos. in order to correctly capture all trades.

Thanks.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@enron.com

Message 11 of 48

RE: Executed Master Netting Agreement Binders

Sender	alan.aronowitz@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/43.

Thanks. Please provide me a binder at your earliest convenience.

-----Original Message-----

From: Bailey, Susan Sent: Thursday, January 17, 2002 4:46 PM To: Aronowitz, Alan; Tweed, Sheila; Puchot, Paul
Subject: Executed Master Netting Agreement Binders

All,

Delivered to Raj Thapar were duplicate binders of the Master Netting Agreements for Enron's domestic affiliates. Attached for each of you as a "cc recipient" is a copy of the Interoffice Memorandum that accompanied the binder delivery.

<< File: (master netting agreements)memo.doc >>

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 12 of 48

FW: J. Aron & Company

Sender	susan.bailey@enron.com
Recipients	[paul.jones@enron.com]
File	bailey-s/deleted_items/252.

Paul,

Could also help with request as well, which was originally directed to Paul Simons.

Many thanks,

Susan Bailey

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, February 05, 2002 10:59 AM To: Simons, Paul Subject: J. Aron & Company

Paul,

I need to ask that you furnish an executed version of the ISDA Master Agreement dated effective March 6, 1998, between ECTRIC and J. Aron & Company.

We are trying to work through some matters and a copy of this ISDA is essential.

An electronic version if available would be great.

Thanks.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 13 of 48

Confirmation Documents

Sender	susan.bailey@enron.com
Recipients	[diane.anderson@enron.com]
File	bailey-s/deleted_items/40.

Diane

I connection with the copies of the Confirmation(s) you provided to me the other day -- the following Counterparty may also have confirmation(s):

Norske Skog Canada Limited (f/n/a Fletcher Challenge Canada Limited -- for which you already provided the materials

Norske Skog Canada Limited (f/n/a Pacifica Papers Inc.) -- for which trades were done 1/8/2001 & 2/2/2001.

Therefore, please provide a copy of all confirmations for those trades which are live, active and on the books that made in the name of Pacifica Papers Inc.

Thanks,

Susan

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 14 of 48

FW: Kona Letter of Credit

Sender	n..gray@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/342.

email I referred to in previous email....see attachments to this forwarded message many thax -----Original Message-----

From: HouKona@aol.com [mailto:HouKona@aol.com] Sent: Wednesday, March 20, 2002 9:44 AM To: Gray, Barbara N. Subject: Kona Letter of Credit

Barbara,

Attached hereto is a spreadsheet sent to us by George Gilbert (former Enron trader now with UBS) calculating Kona's losses in certain hedging contracts with ENA. This spreadsheet was the basis of our claim in the bankruptcy proceeding. I hope that this will expedite getting are LC back. Thank you for your time and assistance in this matter.

Regards,

Ryan Youngblood Kona, Ltd. 363 N. Sam Houston Pkwy. E, Suite 1100 Houston, TX 77060 p: (281) 820-7889 f: (281) 820-7815

Message 15 of 48

Forest Oil Corporation

Sender	susan.bailey@enron.com
Recipients	['darren.vanek@enron.com']
File	bailey-s/deleted_items/394.

Darren,

ENA and Forest Oil have entered into 5 trades, which have all been confirmed under an Omnibus Confirmation format. All 5 trades did not include any credit provisions; however, Forest Oil has sent back comments -- some of which are of a credit nature.

Therefore, please advise as to your call on the following Credit requests:

1. Enron Corp. Guaranty to be provided to guarantee ENA's obligations under the trades. 2. Events of Default re: Bankruptcy -- change Section 3(d)'s reference of 30 days to 60 days.

Let me know your thoughts.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@ enron.com

Message 16 of 48

FW: Chiricahua Notes

Sender	susan.bailey@enron.com
Recipients	['lou.stoler@enron.com', 'john.swafford@enron.com', 'deb.korkmas@enron.com']
File	bailey-s/sent_items/7.

John,

Attached are the Demand Notes prepared for the following Project NOL vehicles:

1. FS 360 Corp. 2. Mangas Corp. 3. Tularosa LLC. 4. Chiricahau I - XIV.

Please be advised, Deb Korkmas prepared the Demands Notes, and forwarded same to Stephen Douglas for his further handling and execution.

Deb does not know if the Demand Notes were ever executed.

Let me know if I may be of further assistance.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@ enron.com

-----Original Message-----

From: Korkmas, Deb Sent: Tuesday, November 27, 2001 9:13 AM To: Bailey, Susan Subject: Chiricahua Notes

Susan, per your request. Deb

Message 17 of 48

FW: US Brick Co.

Sender	susan.bailey@enron.com
Recipients	['bryan.delahoussaye@enron.com', 'patrick.mulvany@enron.com']
File	bailey-s/deleted_items/140.

Guys,

Also conduct the search under the name of Tiffany Brick Company, L.P. as we have just found out that the confirms may be under that name.

Thanks.

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, February 05, 2002 9:33 AM To: Mulvany, Patrick Subject: US Brick Co.

Patrick,

Please furnish a hard copy of each of the swap confirmations for:

Deal Nos. V48090.1 & V48242.1

These deals were referenced by the Counterparty.

However, there may be additional confirmations for other financial transactions, therefore, please those confirmations as well (if any).

Thank for all the help.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 18 of 48

Enron Corp.

Sender	susan.bailey@enron.com
Recipients	['darren.vanek@enron.com', 'brent.hendry@enron.com', 'clement.abrams@enron.com']
File	bailey-s/deleted_items/397.

Clement,

Brent Hendry has been working on an Enron Corp Guaranty, which would guarantee the physical and financial trading obligations of various Enron affiliates with that of various Duke affiliates.

Attached for your review are Duke's comments to the proposed Guaranty. For your viewing convenience, the attached document has been prepared in a "redlined" format, which tracks Duke's changes in a red font. Please note, ENA has upgraded its form of Guaranty and those changes appear in a red boldfaced font.

Please let me know which changes you will or will not approve.

Thank you in advance for your help.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@ enron.com

Message 19 of 48

RE: master netting project

Sender	nony.flores@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/39.

Susan,

Attached is the mater netting agreements table of contents including the liquids agreements and the ConAgra master agreement. As soon as Credit provides me with fully executed copies I will make copies for your binder as well.

Thanks. Nony

-----Original Message-----

From: Bailey, Susan Sent: Wednesday, January 16, 2002 2:48 PM To: Flores, Nony Subject: master netting project

Nony,

As discussed, attached is the general index and my table of contents, which describes the agreements in narrative form.

Thanks for your help.

<< File: executed master netting agreements.doc >> << File: master netting agreements (table of contents).doc >>

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone:

(713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 20 of 48

RE: Thiele Kaolin Company

Sender	susan.bailey@enron.com
Recipients	['sara.shackleton@enron.com']
File	bailey-s/deleted_items/204.

Sara,

As in our past exercises for the "Non-Terminated/In-the-Money" Counterparties, the Thiele-Kaolin Company continues to appear as a "financial" trading relationship.

However, according to the Confirmation Desk there are only physical arrangements with this counterparty (as evidenced by our GTC docs). I hope that Credit can resolve the mystery???

Susan -----Original Message----- From: Shackleton, Sara Sent: Friday, February 15, 2002 10:21 AM To: McMichael Jr., Ed; Dicarlo, Louis; Moran, Tom; Apollo, Beth Cc: Bailey, Susan; Boyd, Samantha; Panus, Stephanie Subject: Thiele Kaolin Company

We cannot locate any financial contracts for this counterparty.

Please verify that this party belongs on the ITM Non-terminated financial gas list.

Sara Shackleton Enron Wholesale Services 1400 Smith Street, EB3801a Houston, TX 77002 Ph: (713) 853-5620 Fax: (713) 646-3490

Message 21 of 48

Master Netting Agreements

Sender	susan.bailey@enron.com
Recipients	['bridgette.anderson@enron.com']
File	bailey-s/deleted_items/57.

Bridgette,

As discussed, I will provide to you today those recently executed Master Netting Agreements, so they can be placed in "electronic/pdf format".

However, at present could you advise if the following counterparty (a) Master Netting Agreement, and (b) Amendment(s) were ever placed in electronic form:

1. New Power Company (The) a. Master Cross-Product Netting, Setoff, and Security Agreement b. First Amendment
2. PG&E a. Master Netting, Setoff, and Security Agreement b. First Amendment c. Second Amendment d. Third Amendment
3. Koch-Entergy Trading, LP a. Master Netting, Setoff, and Security Agreement
4. Florida Power & Light Company a. Netting Agreement

I appreciate your immediate attention to this request.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 22 of 48

RE: Master Netting Agreements

Sender	alan.aronowitz@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/60.

Has FPL been added to my binder?

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, January 22, 2002 4:10 PM To: EWS-CCT Cc: Aronowitz, Alan Subject: Master Netting Agreements

Edward,

Attached is 4th part. This is the final part.

By receipt of this transmission, you are now in possession of all the electronic/pdf formatted Master Netting Agreements, which were included in the binder delivered to Raj last week.

One note of clarification -- I have provided the electronic/pdf version of the Florida Power & Light Company agreement. However, at the time the binder was delivered this agreement had not come my way; therefore, it is not included in the current binder is scheduled to be included a supplemental binder.

Please advise if I may be of further assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 23 of 48

Sciullo Properties -- Appraisal

Sender	susan.bailey@enron.com
Recipients	['cptdougie@aol.com']
File	bailey-s/deleted_items/224.

Leonard,

WELCOME BACK !!!!! Hope you and Dorothy had a pleasant trip to Germany??? Hope all is well with Kasie??? I would love to hear all about it.

While you were gone, Maria Pirro contacted me -- she is with West Penn Appraisers, Inc. ("WPA"). She faxed their fee schedule relating to the various Sciullo Properties and signed off on my approval as to costs, so WPA is beginning their work.

FYI: I have sent to WPA the monies for the Burger King appraisal as well as the Willow Farms lots. However, there are some properties for which Four Star or Dan & I are not a party to. Therefore, the payment of those appraisals must be handled probably by you or my Dad.

I will fax the WPA fee Schedule, so you know what properties constitute WPA's idea of the "Sciullo Properties".

Once again, welcome back.

Susan

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 24 of 48

RE: US Brick Co.	
Sender	susan.bailey@enron.com
Recipients	[ellen.wallumrod@enron.com]
File	bailey-s/deleted_items/138.

Ellen,

Yes, that is their actual name. I guess they have not done any physical deals.

Many thanks,

Susan

-----Original Message-----

From: Wallumrod, Ellen Sent: Tuesday, February 05, 2002 10:05 AM To: Bailey, Susan Subject: RE: US Brick Co.

Susan,

Is "US Brick Co." the actual name of this counterparty ? I have just searched for any physical gas transactions under this name and got 0 results.

Rgds, Ellen x54099

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, February 05, 2002 9:36 AM To: Wallumrod, Ellen Subject: US Brick Co.

Ellen,

Please check to see if there are any "live" physical deals with the captioned counterparty. If so, please provide a hard copy of the confirmation(s) evidencing such deals.

I wuld appreciate receipt of such confirmations by Wednesday, February 6th.

Many thanks for all your help.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 25 of 48

RE: Default Demand Log	
Sender	susan.bailey@enron.com
Recipients	[michael.bridges@enron.com]
File	bailey-s/deleted_items/286.

Michael,

I will add these counterparties to the Demand Log -- as they may eventually become a defaulting party down the line.

Susan -----Original Message----- From: Bridges, Michael Sent: Friday, March 08, 2002 11:31 AM To: Bailey, Susan Cc: Dicarlo, Louis Subject: RE: Default Demand Log

Thanks for sending me the demand letter log. Going through it, I found three companies that are on our live list, however, not in your demand letter log. The three are live and performing so no demand letter is necessary (thought you might want to add them).

Belco Oil & Gas DTE Energy Trading Texland Limited Partnerships

Mike Bridges

-----Original Message-----

From: Bailey, Susan Sent: Thursday, March 07, 2002 11:16 AM To: Bridges, Michael; Dicarlo, Louis; Garza, Maria; Hall, Bob M.; Miroballi, Angelo; Shackleton, Sara Subject: Default Demand Log

All,

Attached is the latest version updated with comments & responses received as of this morning -- March 7th.

<< File: demand letter log.xls >>

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 26 of 48

Power Confirmations

Sender	susan.bailey@enron.com
Recipients	['kerri.thompson@enron.com']
File	bailey-s/deleted_items/173.

Kerri,

As discussed, set forth below is the list of the "Second -Tier" group of Non-Terminated Top Ten Counterparties, where Enron is In-The-Money. First determine where if applicable in your respective confirm world whether the appropriate Enron affiliate has a (i) physical power, or (ii) financial power relationship with each of the counterparties listed. If so, please furnish a listing that evidences the following requests:

1. Live Deals as of November 30, 2001 2. Expired Deals since November 30, 2001 3. New Deals since November 30, 2001

Also, please furnish a hard copy of all live confirmations under request #1 above.

Many thanks,

SECOND TIER GROUP:

Here's the second tier of counterparties to add to the data retrieval list:

- (11) Medianews Group, Inc.
- (12) Macromedia Incorporated
- (13) British Airways plc
- (14) Merced Irrigation District
- (15) Eugene Water & Electric Board
- (16) Johns Manville International, Inc.
- (17) Public Service Company of Colorado
- (18) James Hardie Australia Finance Pty Ltd

(19) Knight-Ridder, Inc.

(20) Airtran Holdings, Inc.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 27 of 48

RE: Tri-State Generation and Transmission Association, Inc.

Sender	louis.dicarlo@enron.com
Recipients	['sara.shackleton@enron.com', 'stephanie.panus@enron.com', 'maria.garza@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/298.

Maria Garza and I checked. We only see the two trades (TAGG numbers) you reference, none other. It is our opinion that these trades represent all of the financial GAS positions. Note that these two trades ended w/ the Feb02 settlement period.

I cannot speak to power or any other commodity. However, I can provide that Credit Agg didn't show any position exposure for Tri State, which we think is consistent considering there is no existing forward [gas] market price exposure to Tri State.

In summary, my opinion is that there are no other positions. However, only Beth Apollo's group can provide a conclusive answer. Hope this helps.

-----Original Message-----

From: Shackleton, Sara Sent: Monday, March 11, 2002 3:09 PM To: Dicarlo, Louis Cc: Panus, Stephanie; Bailey, Susan Subject: Tri-State Generation and Transmission Association, Inc. ("Tri-State")

Louis:

Just a reminder that ENA received a letter from Tri-State last month and you are going to verify that Deal Nos. YB 5708.1 and 5833.1 are the only active financial deals with ENA. If you can confirm, then we can indicate on the Master Log that Tri-State has actually terminated all outstanding trades effective as of 2/27/02.

Sara Shackleton Enron Wholesale Services 1400 Smith Street, EB3801a Houston, TX 77002 Ph: (713) 853-5620 Fax: (713) 646-3490

Message 28 of 48

RE: Enron Corp.

Sender	susan.bailey@enron.com
Recipients	['clement.abrams@enron.com']
File	bailey-s/deleted_items/398.

Clement,

Thanks for the response.

Have a Happy Thanksgiving.

Susan

-----Original Message-----

From: Abrams, Clement Sent: Wednesday, November 21, 2001 10:06 AM To: Bailey, Susan Cc: Hendry, Brent; Vanek, Darren Subject: RE: Enron Corp.

Susan,

All changes are acceptable.

Clement

-----Original Message-----

From: Bailey, Susan Sent: Monday, November 19, 2001 2:38 PM To: Abrams, Clement Cc: Hendry, Brent; Vanek, Darren Subject: Enron Corp.

Clement,

Brent Hendry has been working on an Enron Corp Guaranty, which would guarantee the physical and financial trading obligations of various Enron affiliates with that of various Duke affiliates.

Attached for your review are Duke's comments to the proposed Guaranty. For your viewing convenience, the attached document has been prepared in a "redlined" format, which tracks Duke's changes in a red font. Please note, ENA has upgraded its form of Guaranty and those changes appear in a red boldfaced font.

Please let me know which changes you will or will not approve.

Thank you in advance for your help.

<< File: 246A multi guaranty(enron).doc >>

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@ enron.com

Message 29 of 48

FW: Kona swap agreements and letter of credit NECESSARY INCLUSIONS

Sender	n.gray@enron.com
Recipients	['bjorn.hagelmann@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/348.

s, I will be forwarding an email to you from Kona, which has as attachments, what I want you to verify as all outstanding swap and options transactions....i hope that you can do this in the next few days.

Also, I have spoken to Bjorn about what he needs....he wants a bullet point list of the types of provisions he should always expect to see in an incoming letter of credit. I volunteered that you would do a rough comparison of our approved forms for my review...I forgot to say that what I am looking for is those provisions which are on all or substantially all of our forms....see me please if you have any questions before starting this list....I do not expect this to be a MAJOR undertaking and I am available to consult. thanks bng -----Original Message----- From: HouKona@aol.com [mailto:HouKona@aol.com] Sent: Wednesday, March 20, 2002 9:44 AM To: Gray, Barbara N. Subject: Kona Letter of Credit

Barbara,

Attached hereto is a spreadsheet sent to us by George Gilbert (former Enron trader now with UBS) calculating Kona's losses in certain hedging contracts with ENA. This spreadsheet was the basis of our claim in the bankruptcy proceeding. I hope that this will expedite getting are LC back. Thank you for your time and assistance in this matter.

Regards,

Ryan Youngblood Kona, Ltd. 363 N. Sam Houston Pkwy. E, Suite 1100 Houston, TX 77060 p: (281) 820-7889 f: (281) 820-7815

Message 30 of 48

Undeliverable: Master Netting Agreements

Sender	exchange.administrator@enron.com
Recipients	['raj.thapar@enron.com', 'alan.aronowitz@enron.com', 'edward.hlopak@enron.com']
File	bailey-s/deleted_items/59.

----- Inline attachment follows -----

From: </O=ENRON/OU=NA/CN=RECIPIENTS/CN=SBAILE2> To: Hlopak Sr, Edward
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=Notesaddr/cn=86256608-65acba-6256472-77e003> CC: Thapar, Raj
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=Raj_thapar>, Aronowitz, Alan
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=Aaronow> Date: Tuesday, January 22, 2002 9:40:50 GMT Subject:

Edward,

As promised, attached is the third & final installment with respect to electronic versions available for those "Master Netting Agreements", which were included in the binder delivered to Raj last week. The counterparties included in this final installment are:

1. BP Amoco
2. Calpine
3. Constellation
4. Dynegy
5. Reliant

By receipt of this transmission, you are now in possession of all the electronic/pdf formatted Master Netting Agreements, which were included in the binder delivered to Raj last week.

One note of clarification -- I have provided the electronic/pdf version of the Florida Power & Light Company agreement. However, at the time the binder was delivered this agreement had not come my way; therefore, it is not included in the current binder is scheduled to be included a supplemental binder.

Please advise if I may be of further assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 31 of 48

RE: US Brick Co.

Sender	ellen.wallumrod@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/133.

Susan,

Just run the same search under the name of Tiffany Brick Company, L.P. - couldn't find any deals for physical gas.

Rgds, Ellen

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, February 05, 2002 3:29 PM To: Wallumrod, Ellen Subject: RE: US Brick Co.

Ellen,

I have just found out that US Brick may also transact business under the name Tiffany Brick Company, L.P.

So please conduct another search under that name. And if there are confirms, please furnish the hard copies to me.

Thanks,

Susan

-----Original Message-----

From: Wallumrod, Ellen Sent: Tuesday, February 05, 2002 10:05 AM To: Bailey, Susan Subject: RE: US Brick Co.

Susan,

Is "US Brick Co." the actual name of this counterparty ? I have just searched for any physical gas transactions under this name and got 0 results.

Rgds, Ellen x54099

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, February 05, 2002 9:36 AM To: Wallumrod, Ellen Subject: US Brick Co.

Ellen,

Please check to see if there are any "live" physical deals with the captioned counterparty. If so, please provide a hard copy of the confirmation(s) evidencing such deals.

I wuld appreciate receipt of such confirmations by Wednesday, February 6th.

Many thanks for all your help.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 32 of 48

Undeliverable: FW: Master Netting Agreements

Sender	exchange.administrator@enron.com
Recipients	[ews-cct@enron.com]
File	bailey-s/deleted_items/58.

----- Inline attachment follows -----

From: </O=ENRON/OU=NA/CN=RECIPIENTS/CN=SBAILE2> To: EWS-CCT
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=Mbx_ewscct> Date: Tuesday, January 22, 2002 9:49:09 GMT Subject:

Edward,

Attached is my third & final transmission, which was sent out today -- January 22nd.

Susan -----Original Message----- From: Bailey, Susan Sent: Tuesday, January 22, 2002 3:41 PM To: Hlopak Sr, Edward
Cc: Thapar, Raj; Aronowitz, Alan Subject: Master Netting Agreements

Edward,

As promised, attached is the third & final installment with respect to electronic versions available for those "Master Netting Agreements", which were included in the binder delivered to Raj last week. The counterparties included in this final installment are:

1. BP Amoco
2. Calpine
3. Constellation
4. Dynegy
5. Reliant

By receipt of this transmission, you are now in possession of all the electronic/pdf formatted Master Netting Agreements, which were included in the binder delivered to Raj last week.

One note of clarification -- I have provided the electronic/pdf version of the Florida Power & Light Company agreement. However, at the time the binder was delivered this agreement had not come my way; therefore, it is not included in the current binder is scheduled to be included a supplemental binder.

Please advise if I may be of further assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 33 of 48

Master Logs (Part 1 - Message) (Part II -- Master Logs)

Sender	susan.bailey@enron.com
Recipients	['sara.shackleton@enron.com', 'nell.browning@enron.com', 'ted.murphy@enron.com']
File	bailey-s/deleted_items/163.

Mary Nell & Ted,

As discussed, attached is an individual "Master Log" for: (a) ECTRIC, (b) EFET/EEFTL, and (c) Enron Credit Limited/Enron Credit Inc. Each Master Log was based on Houston's Termination Log as of 2-11-02.

In reviewing the respective Master Logs you will notice that:

(a) the attached Master Logs include some of the same entries -- because the termination letter may have related to various Enron affiliates;

(b) each of the attached Master Logs includes some counterparties also represented on the London Log entitled "Schedule of Claims" - because in many cases the Enron entity was not identified in the London Log; and

(c) the following Tab Numbers (being the number that appears in the London Log) represent those counterparties which appear as a counterparty entry in one or more of the attached Master Logs and those counterparty entries on the London Log need to be identified with one or more of the attached Master Logs:

Tab No. 1-3 5-8 14-16B 19 21& 22 27 &28 31-40 41 (Nordea Bank Finland Plc) 42 44 47-50 52-54 72 79-84 88-90 99 106 109 116

You are receiving all notices relating to the U.K. Enron entities and can update/maintain the attached Master Logs accordingly.

Please let me or Sara know if you have any questions or need additional assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 34 of 48

Undeliverable: Master Logs

Sender	exchange.administrator@enron.com
Recipients	['sara.shackleton@enron.com', 'nell.browning@enron.com', 'ted.murphy@enron.com']
File	bailey-s/deleted_items/164.

----- Inline attachment follows -----

From: </O=ENRON/OU=NA/CN=RECIPIENTS/CN=SBAILE2> To: Browning, Mary Nell
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=EU/cn=Recipients/cn=MBrownin>, Murphy, Ted
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=EU/cn=Recipients/cn=tmurph1> CC: Shackleton, Sara
</O=ENRON/OU=NA/CN=RECIPIENTS/CN=Sshackl> Date: Tuesday, February 12, 2002 8:55:10 GMT Subject:

Mary Nell & Ted,

As discussed, attached is an individual "Master Log" for: (a) ECTRIC, (b) EFET/EEFTL, and (c) Enron Credit Limited/Enron Credit Inc. Each Master Log was based on Houston's Termination Log as of 2-11-02.

In reviewing the respective Master Logs you will notice that:

(a) the attached Master Logs include some of the same entries -- because the termination letter may have related to various Enron affiliates;

(b) each of the attached Master Logs includes some counterparties also represented on the London Log entitled "Schedule of Claims" - because in many cases the Enron entity was not identified in the London Log; and

(c) the following Tab Numbers (being the number that appears in the London Log) represent those counterparties which appear as a counterparty entry in one or more of the attached Master Logs and those counterparty entries on the London Log need to be identified with one or more of the attached Master Logs:

Tab No. 1-3 5-8 14-16B 19 21& 22 27 &28 31-40 41 (Nordea Bank Finland Plc) 42 44 47-50 52-54 72 79-84 88-90 99 106 109 116

You are receiving all notices relating to the U.K. Enron entities and can update/maintain the attached Master Logs accordingly.

Please let me or Sara know if you have any questions or need additional assistance.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 35 of 48

Commercial Risk Reinsurance Company Limited ("CRRC")

Sender	susan.bailey@enron.com
Recipients	['tanya.rohauer@enron.com', 'c.koehler@enron.com']
File	bailey-s/sent_items/6.

Tanya,

As you know, Anne Koehler has been negotiating a master agreement with CRRC over the past several months. Currently, Anne is in NY @ an ISDA conference and will return to the office on Thursday, November 29th. However, yesterday Laurie Orchard @ CRRC called inquiring as to the status of our review to their latest round of comments (some which were Credit in nature). Laurie asked that I touch base with you to get your thoughts, so that when Anne returns on Thursday -- we will be closer to a final document form.

Therefore, attached for your review is a "redlined" version of the latest master agreement draft. In reviewing such document, please keep in mind that CRRC really wants the following to prevail:

1. Part 1(h) of the Schedule: CRRC would like such language to be included as they have concerns with bankruptcy events. 2. Part 5(j) of the Schedule: CRRC provided transfer language, which Anne knew they were to furnish. 3. Paragraph 13(b)(ii): CRRC prefers to include only cash, because (B) & (C) do not apply. 4. Paragraph 13(b)(iv)(B): CRRC is more conservative with regard to their matrix threshold and wish that the changes be accepted as noted. 5. Paragraph 13(g)(i): CRRC wishes to include "or in Bermuda", because that is where they maintain their LCs.

Please be advised, there was one other change CRRC requested, which related to Paragraph 13(b)(iv)(B) -- the determination of the exposure in weather-related deals. As you know, Anne has furnished such language to Mark Tawney for his comments. I do not believe that Mark has responded. However, CRRC is willing to address this later under an amendment to the master. Therefore, as you can see they are rather eager to sign a master with ENA and they are willing to address some of their issues at a later date.

Let me know your thoughts.

Regards, Susan S. Bailey Senior Legal Specialist Enron Wholesale Services Legal Department 1400 Smith Street, Suite 3803A Houston, Texas 77002 phone: (713) 853-4737 fax: (713) 646-3490 email: susan.bailey@enron.com

Message 36 of 48

RE: Pre-Petition Mutual Termination -- Termination Amounts

Sender	beth.apollo@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/190.

thanks -- yes we need the info to properly record these transations, and to include them in the preference search we are doing related to settlements

-----Original Message-----

From: Bailey, Susan Sent: Thursday, February 14, 2002 11:15 AM To: Apollo, Beth Subject: FW: Pre-Petition Mutual Termination -- Termination Amounts

Beth,

Thought you should be in the loop with regard to this request --see my message below to the Credit folks.

Susan Bailey

-----Original Message-----

From: Bailey, Susan Sent: Thursday, February 14, 2002 8:48 AM To: Moran, Tom; Gonzalez, Veronica Cc: Aronowitz, Alan Subject: Pre-Petition Mutual Termination -- Termination Amounts

Tom or Veronica,

As you know, prior to the bankruptcy filing ENA and/or EPMI entered into agreements with some of their trading counterparties, whereby the parties agreed to mutually terminate contracts and/or transactions, and wherein the parties agreed to termination amounts to be paid.

In light of these pre-petition arrangements, please confirm if the following termination payments were received by ENA or EPMI:

Counterparty Termination Amount Due ENA or EPMI

BP Capital Energy Equity International Holdings 1, Ltd. \$ 541,000 BP Capital Energy Fund, L.P. \$21,521,740

Constellation Power Source, Inc. \$42,000,000 Energy Authority, Inc. (The) \$724,333.25 International Paper Company

\$12,163,283 NUI Utilities, Inc. & NUI Energy Brokers, Inc. \$42,900,000 T. Boone Pickens \$ 7,063,860 Public Service Company of Colorado \$ 6,000,000 Sempra Energy Trading Corp. \$19,750,000; \$25,000,000 & \$2,500,000 PG&E Energy Trading-Power, L.P. \$ 5,000,000 Sprague Energy Corp. \$ 14,000 Thermo Cogeneration Partnership LP \$ 274,396 UGI Utilities Inc. \$ 1,460,000 Wells Fargo Bank, N.A. \$ 43,638 & \$32,280

I look forward to your response and many thanks for your help in this matter.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 37 of 48

FW: Pre-Petition Mutual Termination -- Termination Amounts

Sender	susan.bailey@enron.com
Recipients	[sara.shackleton@enron.com]
File	bailey-s/deleted_items/251.

Sara,

Here is my request as sent to Tom Moran and Veronica Gonzalez. I also forwarded this request to Beth Apollo so she could process it thru her channels.

TO DATE - NO RESPONSE FROM ANYONE.

Susan -----Original Message----- From: Bailey, Susan Sent: Thursday, February 14, 2002 11:15 AM To: Apollo, Beth Subject: FW: Pre-Petition Mutual Termination -- Termination Amounts

Beth,

Thought you should be in the loop with regard to this request --see my message below to the Credit folks.

Susan Bailey

-----Original Message-----

From: Bailey, Susan Sent: Thursday, February 14, 2002 8:48 AM To: Moran, Tom; Gonzalez, Veronica Cc: Aronowitz, Alan Subject: Pre-Petition Mutual Termination -- Termination Amounts

Tom or Veronica,

As you know, prior to the bankruptcy filing ENA and/or EPMI entered into agreements with some of their trading counterparties, whereby the parties agreed to mutually terminate contracts and/or transactions, and wherein the parties agreed to termination amounts to be paid.

In light of these pre-petition arrangements, please confirm if the following termination payments were received by ENA or EPMI:

Counterparty Termination Amount Due ENA or EPMI

BP Capital Energy Equity International Holdings 1, Ltd. \$ 541,000 BP Capital Energy Fund, L.P. \$21,521,740 Constellation Power Source, Inc. \$42,000,000 Energy Authority, Inc. (The) \$724,333.25 International Paper Company \$12,163,283 NUI Utilities, Inc. & NUI Energy Brokers, Inc. \$42,900,000 T. Boone Pickens \$ 7,063,860 Public Service Company of Colorado \$ 6,000,000 Sempra Energy Trading Corp. \$19,750,000; \$25,000,000 & \$2,500,000 PG&E Energy Trading-Power, L.P. \$ 5,000,000 Sprague Energy Corp. \$ 14,000 Thermo Cogeneration Partnership LP \$ 274,396 UGI Utilities Inc. \$ 1,460,000 Wells Fargo Bank, N.A. \$ 43,638 & \$32,280

I look forward to your response and many thanks for your help in this matter.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 38 of 48

FW: Morgan Stanley

Sender	susan.bailey@enron.com
Recipients	['alan.aronowitz@enron.com', 'paul.simons@enron.com']
File	bailey-s/deleted_items/128.

Paul,

Both ENA and ECTRIC have a master agreement in place with Morgan Stanley Capital Group, Inc., as follows:

1. ENA's is Master Agreement dated effective as of June 16, 1992, and which has been amended over time.
2. ECTRIC's is an ISDA Master Agreement dated effective as of August 29, 1997.

As for your inquiry concerning netting agreements -- Morgan Stanley has no master netting arrangements with either ENA or ECTRIC.

Hard copies of the aforementioned agreements will be faxed to you today.

Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Alan,

FYI; Paul Simons (London) has requested copies of the Morgan Stanley Capital Group master agreements, which are in place with ENA and ECTRIC. London may be working on trading matters concerning this counterparty.

-----Original Message-----

From: Heard, Marie Sent: Monday, February 04, 2002 8:41 AM To: Simons, Paul Cc: Crilly, Peter; Bailey, Susan Subject: RE: Morgan Stanley

Paul:

You can only imagine how disgusting things are over here with the media circus. I guess being in London I don't have to tell you about media circuses! Hopefully, we'll all be able to get through this and move on to bigger and better things.

I'm passing your e-mail along to Susan Bailey, as I don't have any involvement in the day to day old Enron business. Hopefully, Susan will be able to help you.

Take care!

Marie

-----Original Message-----

From: Simons, Paul Sent: Monday, February 04, 2002 8:34 AM To: Heard, Marie Cc: Crilly, Peter Subject: Morgan Stanley Importance: High

Marie

I hope you dealing with the sudden fame (notoriety) in the US!

Have you got any master agreements or other netting agreements in the US between Morgan Stanley Capital Group Inc and ECTRIC (Enron Capital & Trade Resources Inc)?

If so please fax me a copy and email me to say it's on its way.

Thanks a lot.

Paul

Message 39 of 48

RE: Liquids Group-- Payment Netting Agreements

Sender	susan.bailey@enron.com
Recipients	['nony.flores@enron.com']
File	bailey-s/deleted_items/188.

Great.

Thanks.

-----Original Message-----

From: Flores, Nony Sent: Wednesday, February 13, 2002 3:53 PM To: Bailey, Susan Subject: RE: Liquids Group-- Payment Netting Agreements

Susan,

Nothing yet. I sent a reminder to Tom Moran today and will follow up with him tomorrow.

Thanks. Nony

-----Original Message-----

From: Bailey, Susan Sent: Wednesday, February 13, 2002 1:47 PM To: Flores, Nony Subject: Liquids Group-- Payment Netting Agreements

Nony,

Set forth below are those Payment Netting Agreements that (a) you did not have in your possession, or (b) fully-executed versions were not available. Many were in the hands of Credit--have you tracked these down and are any or all of them now available???

Amoco Production Company Net Settlement Agreement dated effective as of August 1, 2001, by and between Amoco Production Company and Enron Reserve Acquisition Corp. [Executed copy is not available. Credit coordinated the execution process and is looking for an executed copy.]

Anadarko Energy Services Company Netting Agreement dated effective as of , 2001, by and between Anadarko Energy Services Company and Enron Reserve Acquisition Corp. [Executed copy is not available. Credit coordinated the execution process and is reviewing the credit records to determine if Anadarko agreed to ERAC's changes and such agreement was executed.]

BP Oil Supply Company Net Settlement Agreement dated effective as of August 1, 2001, by and between BP Oil Supply Company and Enron Reserve Acquisition Corp. [Executed copy is not available. Credit coordinated the execution process and is looking for an executed copy.]

Coastal States Trading Company Net Settlement Agreement dated effective as of , by and between Coastal States Trading Company and Enron Reserve Acquisition Corp. [Credit is looking for executed copy, agreement was executed in mid-November 2001.]

Genesis Crude Oil, L.P. Netting Agreement dated effective as of January 1, 2001, by and between Genesis Crude Oil, L.P. and Enron Reserve Acquisition Corp. [Credit is looking for executed copy. The agreement was executed in March-April, 2001.]

Navajo Refining Company Netting Agreement dated effective as of November 1, 2001, by and between Navajo Refining Company and Enron Reserve Acquisition Corp. [Partial execution copy - executed by Enron on 11/27/01. Credit is looking for fully executed copy.]

Statoil Marketing & Trading (US) Inc. Netting Agreement dated effective as of , 2001, by and between Statoil Marketing & Trading (US) Inc. and Enron Reserve Acquisition Corp. [Executed copy is not available.]

Unocal Energy Trading Inc. Netting Agreement dated effective as of November 15, 2001, by and between Unocal Energy Trading Inc. and Enron Reserve Acquisition Corp. [Partial execution copy -executed by Enron on 11/20/01. Credit is looking for fully executed copy.]

Williams Energy Marketing & Trading Company Netting Agreement dated effective as of October 1, 2001, by and between Williams Energy Marketing & Trading Company and Enron Reserve Acquisition Corp. [Partial execution copy -executed by Enron on 11/20/01. Credit is looking for fully executed copy.]

Williams Refining & Marketing, L.L.C. Netting Agreement dated effective as of October 1, 2001, by and between Williams Refining & Marketing, L.L.C. and Enron Reserve Acquisition Corp. [Partial execution copy -executed by Enron on 11/20/01. Credit is looking for fully executed copy.]

I look forward to your response and thanks for all the help.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3803A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 Email: Susan.Bailey@enron.com

Message 40 of 48

RE: My email address

Sender	ed.hlopak@enron.com
Recipients	[susan.bailey@enron.com]
File	bailey-s/deleted_items/62.

Thanks, Susan. I'll get it done.

Ed Hlopak Sr. Project Manager Enron Wholesale Services 713-345-9363 (office) 713-417-4412 (cell)

-----Original Message-----

From: Bailey, Susan Sent: Tuesday, January 22, 2002 4:54 PM To: Hlopak, Ed Subject: RE: My email address

Edward,

I thought I noticed a Senior designation and thought it kind of strange.

Yes, all the documents were provided to E&Y in hard copy form in the binders delivered to Raj last week. The only document not included was the Florida Power & Light Company ("FPL") agreement. However, under the EWS-CCT address you now possess all the Master Netting Agreements (including the FPL agreement) in the electronic/pdf format.

If you want to present E&Y with the electronic/pdf versions, you will need to do that.

Susan

-----Original Message-----

From: Hlopak, Ed Sent: Tuesday, January 22, 2002 4:48 PM To: Bailey, Susan Subject: My email address

Susan,

Thank you for sending all those emails to the EWS-CCT address. I noticed that the Ed Hlopak you sent the original emails to was the Ed, Sr - my father. He used to work at EE&CC.

Have these files already been sent to E&Y? If not, I'll get it done right away.

Regards,

Ed Hlopak Sr. Project Manager Enron Wholesale Services 713-345-9363 (office) 713-417-4412 (cell)

Message 41 of 48

RE: Letter of Credit DevX Energy

Sender	susan.bailey@enron.com
Recipients	['n..gray@enron.com']
File	bailey-s/deleted_items/179.

Barbara,

No I have not.

Susan

-----Original Message-----

From: Gray, Barbara N. Sent: Tuesday, February 12, 2002 1:10 PM To: Bailey, Susan Subject: FW: Letter of Credit DevX Energy

Susan, Have you done any letter of credit work....please call me thks bng -----Original Message----- From: Williams, Jason R (Credit) Sent: Tuesday, February 12, 2002 9:47 AM To: Gray, Barbara N. Cc: Lagrasta, Fred; Moran, Tom; Gonzalez, Veronica Subject: Letter of Credit DevX Energy

Barbara -

Per our earlier conversation, below is the relevant information about the DevX Energy letter of credit:

Letter of Credit Posted on behalf of DevX Energy. Beneficiary is Enron North America Corp. Letter of Credit expires 12/2003.

Trades DevX Energy has two financial swaps in place with Enron North America Corp.: TAGG # EK9320.1 DevX Energy bought fixed-price natural gas TAGG # EK9338.1 DevX Energy sold fixed-price natural gas

Both trades run through 12/2003.

Current Exposure Presently, DevX Energy is out of the money approximately \$1,000,000 on these positions.

Commercial Contact The commercial contact for Enron is Fred Lagrasta (ext. 36529).

Credit Contacts The credit contacts for this are Tom Moran (ext. 33017) and Veronica Gonzalez (ext 30511).

DevX Energy has asked if the LC can be reduced. Can you please coordinate with Fred and Tom?

Thanks,

Jay

Message 42 of 48

FW: Letter of Credit DevX Energy

Sender	n..gray@enron.com
Recipients	['tom.moran@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/165.

Tom, I have left you a voice mail about this issue.....please call so that we may discussthe Master was amended to add a Independent Amount and the definition used is a formula and the formula is unusual....it seems that subpart (a) is the applicable subpart, but we are unable to verify the numbers provided by Jay. bng

-----Original Message-----

-----Original Message-----

From: Gray, Barbara N. Sent: Tuesday, February 12, 2002 1:10 PM To: Bailey, Susan Subject: FW: Letter of Credit DevX Energy

Susan, Have you done any letter of credit work....please call me thks bng -----Original Message----- From: Williams, Jason R (Credit) Sent: Tuesday, February 12, 2002 9:47 AM To: Gray, Barbara N. Cc: Lagrasta, Fred; Moran, Tom; Gonzalez, Veronica Subject: Letter of Credit DevX Energy

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DevX Energy has asked if the LC can be reduced. Can you please coordinate with Fred and Tom?

Thanks,

Jay

Message 43 of 48

RE: Daily Direct Cash Flow

Sender	cynthia.shoup@enron.com
Recipients	['louis.dicarlo@enron.com', 'shielah.castro@enron.com', 'susan.bailey@enron.com']
File	bailey-s/deleted_items/269.

The following is the detail for cash inflow for Williams wire in the amount of \$743,044.00 on 3/5/02:

Financial Settlements Invoices - Co. 364 020168809 \$ 96,200.00 0202142 \$118,160.00 020169166 \$150,427.00
01121094 \$105,760.00 01121761 \$169,616.50 0203094 \$102,880.00

They also sent a wire in the amount of \$7,686.87 for Interest on the same day.

If this is not the information you are looking for, please let me know.

-----Original Message-----

From: Castro, Shielah Sent: Thursday, March 7, 2002 4:03 PM To: Shoup, Cynthia Subject: FW: Daily Direct Cash Flow FYI

Shielah Castro Enron Corp. 713.853.4315 (P) 713.646.2496 (F) email:shielah.castro@enron.com

-----Original Message-----

From: Dicarlo, Louis Sent: Thursday, March 07, 2002 3:24 PM To: Bailey, Susan; Castro, Shielah Subject: RE: Daily Direct Cash Flow

Susan: My bad! Maybe the payment combines two Williams entities and that would explain why they amount exceeds our invoice amount.

Shielah: Angelo gave me your name as a contact that could help with regard to cash inflows. Please provide detail about the cash inflow from Williams on 3/5/02. Specifically, which Williams company(s) provided the payment? Thanks

-----Original Message-----

From: Bailey, Susan Sent: Thursday, March 07, 2002 1:48 PM To: Dicarlo, Louis Subject: RE: Daily Direct Cash Flow
Louis,

I have entered into the Demand Log the cash payment information for the counterparties listed below.

I have one question:

According to the Cash Flow report -- the payment is noted from "Williams Energy Services Company", do we know for a fact that the monies relate to ENA's relationship with Williams Production RMT????

Susan

-----Original Message-----

From: Dicarlo, Louis Sent: Thursday, March 07, 2002 12:59 PM To: Bailey, Susan Cc: Shackleton, Sara Subject: Daily Direct Cash Flow

<< File: 030602daily direct cash flow.xls >> The above attached file contains validation of payment from:

Cross Oil's on 3/5/02 for the full demand letter amount San Diego Gas & Electric on 3/5/02 for the full demand letter amount Stone Energy Corporation on 3/6/02 for the full demand letter amount Williams Production RMT on 3/5/02 for an amount considerably larger than the demand letter amount (\$0.75M paid vs. \$0.64 demand)

Please update the Demand Letter Log to reflect that their payment was received. No termination letter will go to these CPs at this time.

Thanks

Louis R. DiCarlo ENA Gas Structuring Phone: 713-345-4666 Email: louis.dicarlo@enron.com

Message 44 of 48

FW: Daily Direct Cash Flow

Sender	louis.dicarlo@enron.com
Recipients	['susan.bailey@enron.com']
File	bailey-s/deleted_items/270.

See below including my counterparty name column.

-----Original Message-----

From: Shoup, Cynthia Sent: Thursday, March 07, 2002 4:23 PM To: Castro, Shielah Cc: Dicarlo, Louis; Bailey, Susan Subject: RE: Daily Direct Cash Flow

The following is the detail for cash inflow for Williams wire in the amount of \$743,044.00 on 3/5/02:

COUNTERPARTY Financial Settlements Invoices - Co. 364 020168809 \$ 96,200.00 Williams Production RMT Company 0202142 \$118,160.00 Williams Production RMT Company 020169166 \$150,427.00 Williams Production RMT Company 01121094 \$105,760.00 Williams Production RMT Company 01121761 \$169,616.50 Williams Production RMT Company 0203094 \$102,880.00 ?unknown?

They also sent a wire in the amount of \$7,686.87 for Interest on the same day.

If this is not the information you are looking for, please let me know.

-----Original Message-----

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FYI

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Please update the Demand Letter Log to reflect that their payment was received. No termination letter will go to these CPs at this time.

Thanks

Louis R. DiCarlo ENA Gas Structuring Phone: 713-345-4666 Email: louis.dicarlo@enron.com

Message 45 of 48

Board Retreat

Sender	kharrell@periwinklefoundation.org
Recipients	['psorrells@periwinklefoundation.org', 'yauch.janet@enron.com', 'schick.ana@enron.com', 'miller.jackie@enron.c...
File	bailey-s/inbox/3.

Attached is an announcement about The Periwinkle Foundation Board Retreat.

We will have dinner and the first meeting Friday, June 7, 2002 at 6:30 p.m. at The Houstonian Hotel. The Houstonian is at 111 N. Post Oak Lane, 77024.

We will have the second meeting Saturday, June 8, 2002 from 9 a.m. to 3:30 p.m. at the Ronald McDonald House. The Ronald McDonald House is at 1907 Holcombe Blvd, 77030.

Your attendance is very, very important as we will be planning our road map for the next several years.

Please reply to this email and let us know if you will attend one or both meetings.

Thank you for all you do!

Kelley

Message 46 of 48

FW: Prepay to Reliant

Sender susan.bailey@enron.com

Recipients ['e..dickson@enron.com', 'gerald.nemec@enron.com', 'kay.mann@enron.com']

File bailey-s/deleted_items/129.

Gerald or Stacy,

Can one of you handle the request made below. I am not familiar with your GISB documents.

Thanks,

Susan -----Original Message----- From: Adams, Suzanne Sent: Monday, February 04, 2002 3:17 PM To: Bailey, Susan Subject: FW: Prepay to Reliant

Susan, would this be something you would do. Kay Mann is out today.

-----Original Message-----

From: Boyt, Eric <Eric.Boyt@ENRON.com> To: Nemec, Gerald <Gerald.Nemec@ENRON.com>; Mann, Kay <Kay.Mann@ENRON.com>; Dickson, Stacy E. <stacy.dickson@enron.com> Sent: Mon Feb 04 15:03:50 2002 Subject: FW: Prepay to Reliant

Could one of you check into this and let me know if the GISB w Reliant is still active?

Thanks,

Eric

-----Original Message-----

From: Germany, Chris Sent: Monday, February 04, 2002 11:20 AM To: Dhont, Margaret; Boyt, Eric; Baxter, Bryce Cc: Barbe, Robin; Garza, Maria; Olinger, Kimberly S. Subject: Prepay to Reliant

Reliant has agreed to sell us gas on Florida. My trading contact is Jim Taylor (713-207-1482). The contact on the wire should be Pete Torres (713-207-1471), he is in Reliant's credit department. Pete said there should be an active GISB contract with Reliant already in place. I would like to prepay for 5 days and I have my calculation on the prepay request form.

Please let me know if you have any questions.

Thanks

<<Reliant_prepay.doc>>

Message 47 of 48

FW: assignment

Sender	susan.bailey@enron.com
Recipients	['frank.sayre@enron.com', 'craig.breslau@enron.com']
File	bailey-s/deleted_items/425.

Frank,

Please review attached Assignment sent by Craig Breslau. -----Original Message----- From: Breslau, Craig Sent: Monday, November 26, 2001 2:27 PM To: Bailey, Susan; Williams, Jason R (Credit); Taylor, Mark E (Legal) Subject: FW: assignment

PCS Nitrogen would like to assign their positions with Enron over to Bank of America. The structure of the deal would be for B of A to step in between Enron and PCS. Currently, PCS is out of the money to Enron. This trade would lower B of A's exposure to Enron. I would like to give an answer to PCS today. Could you please review and let me know how we proceed on this assignment.

Thanks, Craig -----Original Message----- From: ASHill@potashcorp.com [mailto:ASHill@potashcorp.com] Sent: Tuesday, November 20, 2001 4:06 PM To: Breslau, Craig Subject: assignment

Craig, Attached is a sample assignment agreement sent to us by Bank of America. It was one they had used with another deal, and has not been customized for our particular situation. As I understand Bank of America's verbal intent is to have Bank of America step in between the obligations of our two companies. (See attached file: Assignment-sample doc.doc) Glad to discuss...Audrea

Audrea S. Hill Director, Natural Gas Risk Management 847-849-4222 phone 847-849-4694 fax ashill@worldnet.att.net (See attached file: Assignment-sample doc.doc)

Message 48 of 48

RE: assignment

Sender	susan.bailey@enron.com
Recipients	['credit <.williams@enron.com>', 'craig.breslau@enron.com']
File	bailey-s/sent_items/17.

Craig,

Brent has reviewed the Assignment and suggests that we use the ENA form of Assignment. Reason being -- the last B of A deal (when using their document), which involved a similar scenario was a bit confusing.

Brent said our form will be with PCS as assignor rather than ENA. However, before we can finalize -- Credit must approve.

Jay,

Please advise if assignment of PCS deals are OK with Credit.

Susan

-----Original Message-----

From: Breslau, Craig Sent: Monday, November 26, 2001 2:27 PM To: Bailey, Susan; Williams, Jason R (Credit); Taylor, Mark E (Legal) Subject: FW: assignment

PCS Nitrogen would like to assign their positions with Enron over to Bank of America. The structure of the deal would be for B of A to step in between Enron and PCS. Currently, PCS is out of the money to Enron. This trade would lower B of A's exposure to Enron. I would like to give an answer to PCS today. Could you please review and let me know how we

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